TA **TICKER ALPHA**
INDEPENDENT EQUITY RESEARCH

AI RESEARCH REPORT
7 August 2026 · Initiation of coverage

NASDAQ: PLTR

Palantir Technologies Inc.

Information Technology / Software - Infrastructure · Mega Cap · Reported in USD

Gotham, Foundry, Apollo and AIP — software for government and commercial decisioning. ~4,429 employees · commercial is re-rating the mix.

Bullish

BEARISH | NEUTRAL | **BULLISH**

Initiation · 12-month horizon · Risk: High

$172.01

LAST CLOSE · 7 AUG 2026
52-week range $106.37–$207.52

> Commercial + AIP is re-rating the mix while government still funds half the base. Trailing P/E sits at the **4th percentile** of Palantir's profitable history — earnings compounded under a −5.6% share price. Still: **63.9× sales** is mid-pack in its own EV/S history and 3× the software peer median, so the multiple still needs the growth to print. Bullish on commercial crossing through; base below Street median because SBC (13.6% of sales) keeps the trust discount.

TICKER ALPHA CONSENSUS — 12-MONTH

SCENARIO	TARGET	RETURN	ODDS
— Bull	$230	+33.7%	25%
— Base	$185	+7.6%	50%
— Bear	$95	−44.8%	25%

WALL STREET CONSENSUS — 26 ANALYSTS

$172.17 ~flat

Range $80–$215 · median $195

13 Buy · 10 Hold · 3 Sell

Our base case is **5.1% below** the Street median.

WHAT WOULD CHANGE OUR VIEW

- ▲ Commercial >50% of revenue with Rule of 40 held
- ▼ US commercial growth decelerates below 50% YoY, or a major defence programme slips a year

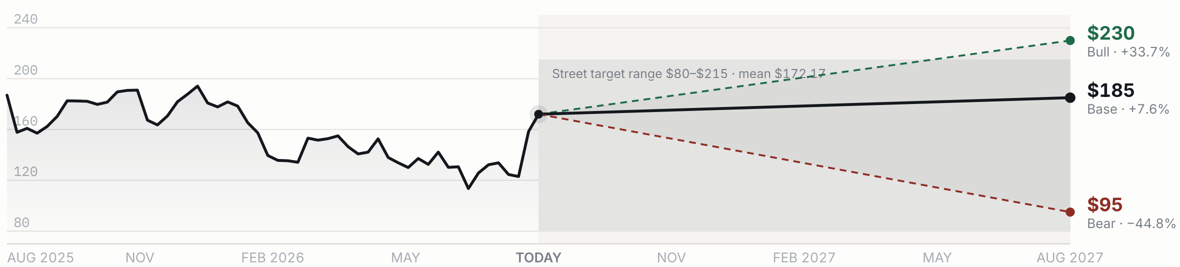
KEY CATALYSTS

2 Nov 2026	Q3 FY26 results
early Feb 2027	Q4 + FY27 guide
mid-2027	AIP bootcamp cadence

MARKET CAP	REVENUE TTM	REV. GROWTH	GROSS MARGIN	FCF MARGIN	P / E
$395B	$6.16B	+56.2%	84.8%	54.6%	145.8×
EV $393B · net cash	FY26 cons. ~$8.1B	+92.8% latest qtr	84.7% latest qtr	$3.36B TTM	76× on FY27E

SHARE PRICE — 12 MONTHS BACK, 12 MONTHS FORWARD

Weekly closes, USD



TICKER ALPHA SCORECARD

Scored 1–5 against peers and Palantir's own 5-year history

GROWTH	PROFITABILITY	BALANCE SHEET	VALUATION
Exceptional	Best in set	Fortress	Stretched vs peers

What Palantir Actually Sells

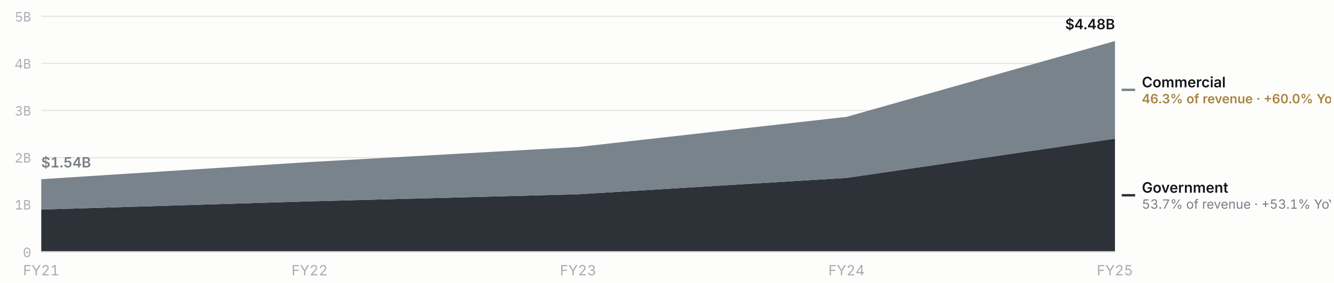
Palantir sells software platforms — **Gotham** for government, **Foundry** for commercial, **Apollo** for continuous deployment, and **AIP** as the LLM operations layer on top. Capex runs at **~0.7% of revenue**: this is software, not fabs. On $6.16B of TTM sales the company converts **$3.36B** of free cash.

The growth story is commercial + AIP catching the government base. In FY25, Government was **$2.40B** and Commercial **$2.07B** — almost even. The Q2 FY26 run-rate implies commercial may lead soon. Everything on the next six pages is a judgment about how long that crossing compounds before the multiple has to compress.

REVENUE / EMPLOYEE	R&D / REVENUE	CAPEX / REVENUE	GROSS MARGIN	SBC / REVENUE	COMMERCIAL SHARE
$1.39M	10.4%	0.7%	84.8%	13.6%	46.3%
~4,429 staff	Software product	Not a fab model	On $6.16B TTM	Dilution drag	Of FY25 product mix

REVENUE BY SEGMENT — FY21 TO FY25

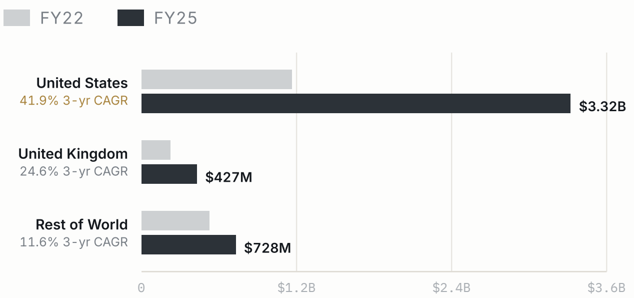
Company filings, $M. Fiscal years end 31 December · Commercial highlighted



> Government still funds half the dollars, but Commercial is the re-rating engine. FY25 put **Gov $2.40B** against **Comm $2.07B**; AIP bootcamps and US commercial growth are what pull the mix through 50%. The multiple requires that crossing to keep printing.

WHERE THE REVENUE IS BILLED

FY22 vs FY25



United States grew at a ~42% three-year CAGR from FY22 to FY25; UK ~25%, Rest of World ~12%. The commercial acceleration is a US story first.

COMPETES AGAINST

Databricks · Snowflake · ServiceNow · C3.ai · Anduril · Accenture / Deloitte

MOAT ASSESSMENT

Moderate

Ontology and switching costs are real. Hyperscaler + Databricks stacks and SI incumbents keep the moat from going Wide.

STRUCTURAL ADVANTAGES

- ▲ Ontology + AIP raise switching costs once workflows sit on the platform
- ▲ Defence programme incumbency funds the base while commercial expands
- ▲ 84.8% GM, 42.8% OM, net cash ~$1.8B — software economics at scale

STRUCTURAL WEAKNESSES

- ▼ SBC at 13.6% of sales keeps the discount of trust high
- ▼ Government programme concentration — a slip rewrites bookings
- ▼ Databricks, Snowflake and hyperscaler stacks compete for the same commercial cheque

Segment, geographic and headcount data from Palantir SEC filings via Financial Modeling Prep. Geographic revenue is disclosed by billing location. Revenue per employee, R&D, SBC and capital intensity ratios are Ticker Alpha calculations on trailing twelve-month figures. Moat scoring and all commentary are model outputs, not statements of fact. Fiscal year ends 31 December.

Has It Actually Performed?

Four-year revenue CAGR is **30.5%**, with FY25 alone at +56.2%. Operating margin swung from −26.7% to 31.6% in four years; TTM is already 42.8%. Free cash now exceeds net income.

4-YR REVENUE CAGR	TTM EPS	FCF CONVERSION	INCREMENTAL MARGIN	ROIC
30.5%	**$1.18**	**111%**	**~69%**	**25.6%**
FY25 alone **+56.2%**	FY25 alone **$0.63**	**of net income**, TTM	FY25 Δ EBIT / Δ revenue	Best-in-set OM helps

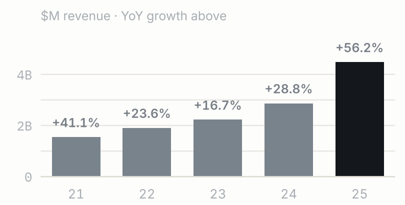
FIVE-YEAR SUMMARY

$B except per share · fiscal years end 31 December

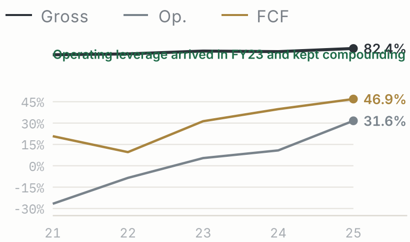
	FY21	FY22	FY23	FY24	FY25	WHAT IT SAYS
Revenue	1.54	1.91	2.23	2.87	4.48	Acceleration into FY25, not a one-quarter spike
Revenue growth	+41.1%	+23.6%	+16.7%	+28.8%	**+56.2%**	Commercial + AIP bent the curve
Gross margin	78.0%	78.6%	80.6%	80.2%	82.4%	Software GM; TTM already 84.8%
Operating margin	−26.7%	−8.5%	5.4%	10.8%	**31.6%**	Leverage arrived in FY23 and kept compounding
Diluted EPS	−$0.27	−$0.18	$0.09	$0.19	$0.63	TTM EPS already $1.18 on the Q2 print
Free cash flow	**0.32**	**0.18**	**0.70**	**1.14**	**2.10**	**47% FCF margin in FY25 — cash follows earnings**

NET CASH	NET DEBT / EBITDA	FCF YIELD	CURRENT RATIO	CAPEX / REVENUE
~$1.8B	**−0.6×**	**0.85%**	**7.2×**	**0.7%**
EV $393B on $395B cap	Net cash position	$3.36B TTM FCF	Fortress liquidity	Asset-light

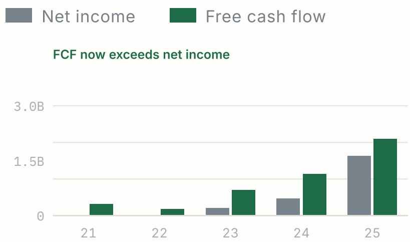
REVENUE



MARGINS

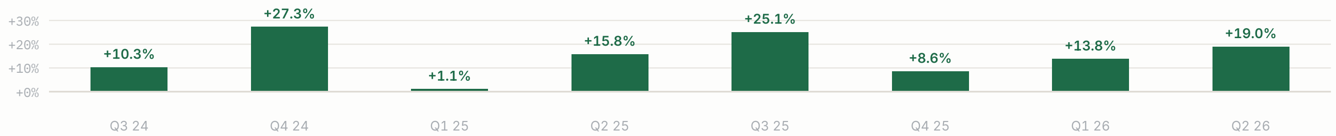


EARNINGS QUALITY



EARNINGS TRACK RECORD — LAST EIGHT QUARTERS

Reported EPS against consensus at the time



> Eight beats from eight, wide band — **+1.1%** to **+27.3%**. The Street keeps underestimating operating leverage; the printed surprise is large and the commercial mix still matters more.

Income statement, cash flow and balance sheet data from Palantir SEC filings via Financial Modeling Prep; fiscal years end 31 December. Free cash flow is operating cash flow less capital expenditure; net cash is cash, equivalents and short-term investments less total debt. CAGRs, conversion and incremental-margin ratios are Ticker Alpha calculations. The surprise series uses the vendor's as-reported basis.

How Does It Compare?

Against ten software peers, Palantir prints **best growth and best operating margin** in the set — and the **richest EV/Sales by far** (~64× vs ~21× peer median). The operating story is exceptional; the sales multiple still requires it to keep printing.

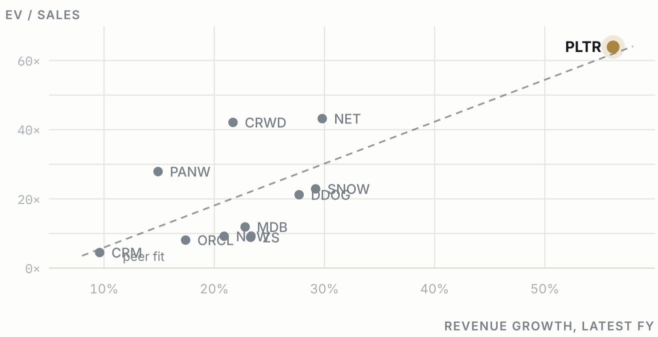
COMPARABLE COMPANIES

TTM figures · sorted by market capitalisation · Palantir highlighted

COMPANY	MARKET CAP	REV GROWTH	GROSS MARGIN	OP MARGIN	ROIC	EV / SALES	P / E
Oracle ORCL	$423B	+17.4%	65.8%	30.8%	8.0%	8.1×	24.7×
Palantir PLTR	$395B	+56.2%	84.8%	42.8%	25.6%	63.9×	145.8×
Palo Alto PANW	$297B	+14.9%	71.9%	9.6%	1.7%	27.9×	305.8×
CrowdStrike CRWD	$218B	+21.7%	75.0%	-3.9%	6.0%	42.1×	n/m
Salesforce CRM	$158B	+9.6%	77.6%	21.9%	9.2%	4.5×	22.2×
ServiceNow NOW	$129B	+20.9%	74.8%	11.4%	5.5%	9.2×	77.6×
Snowflake SNOW	$115B	+29.2%	67.1%	-26.1%	-27.2%	22.9×	n/m
Cloudflare NET	$107B	+29.8%	72.6%	-14.1%	-6.8%	43.2×	n/m
Datadog DDOG	$83B	+27.7%	79.5%	0.4%	0.2%	21.2×	470.5×
MongoDB MDB	$32B	+22.8%	72.0%	-4.2%	-3.5%	11.9×	n/m
Zscaler ZS	$27B	+23.3%	76.7%	-4.7%	-3.2%	8.9×	n/m
Peer median excl. PLTR	**$122B**	**+22.3%**	**73.7%**	**-1.8%**	**0.9%**	**16.6×**	**77.6×**

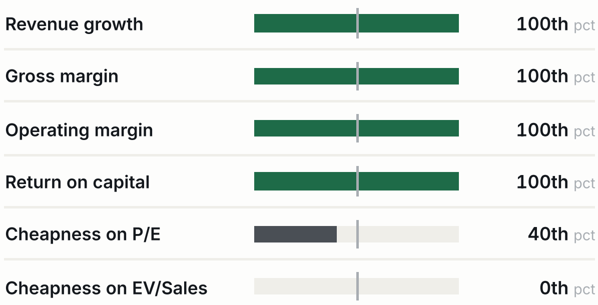
GROWTH AGAINST VALUATION

Revenue growth vs EV/Sales



WHERE PALANTIR RANKS

Percentile in the eleven-name set



> **Best growth and best OM in the set — richest sales multiple by far.** Peers cluster near ~21× sales; Palantir sits near 64×. That gap prices commercial durability and Rule of 40 — which is why our base sits below the Street median even with a bullish rating.

ORACLE · ORCL

Scale	Cloud / apps giant
Multiple	Cheaper on sales

Incumbent cheque

Broader stack, slower growth — less AIP torque.

SERVICENOW · NOW

Model	Workflow SaaS
Overlap	Enterprise ops

Closest quality peer

High OM, lower growth — without Palantir's gov base.

SNOWFLAKE · SNOW

Model	Cloud data
Margin	Still catching up

Competes for the same ACV

Data platform rival — thinner OM, lower multiple.

Peer set: ORCL, PANW, CRWD, CRM, NOW, SNOW, NET, DDOG, MDB, ZS plus PLTR; market data as of 7 August 2026, fundamentals TTM per Financial Modeling Prep. Medians exclude Palantir where noted. Growth is latest completed fiscal year. The regression is descriptive, not a valuation method. Fiscal year ends 31 December.

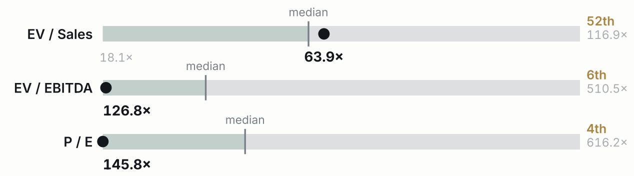
What Is It Worth?

Cheap against its own P/E history, expensive against peers on sales. Revisions have drifted down as the share price digested 2025. What is priced in: FY27 ~$12B at ~76× EPS.

SHARE PRICE	ENTERPRISE VALUE	EV / SALES	EV / EBITDA	P / E	FCF YIELD
$172.01	$393B	63.9×	126.8×	145.8×	0.85%
52-wk $106.37–$207.52	$395B cap · net cash	52nd pct of own hist.	6th pct of own hist.	4th pct · 76× FY27E	On market cap

AGAINST ITS OWN HISTORY

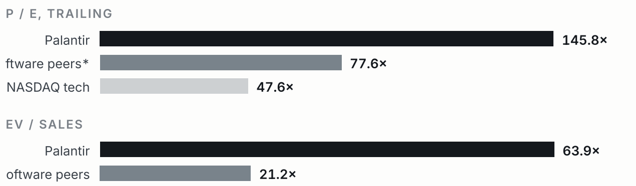
Daily observations since profitability



Bar spans the 5th to 95th percentile of daily observations since profitability · dot is today

AGAINST PEERS AND SECTOR

Median multiples



> **Cheap on earnings history, expensive on sales — against peers.** P/E sits at the **4th percentile** of Palantir's profitable history (earnings catch-up under a flat share price). EV/Sales is the **52nd percentile** of its own range and still ~3× the ~21× software peer median. The multiple still requires the growth to keep printing.

WHAT TODAY'S PRICE REQUIRES

Street path vs our base · software multiples compress when growth decelerates

ON THE STREET'S PATH

FY26E revenue / EPS	~$8.1B / $1.59
FY27E revenue / EPS	~$12.1B / $2.26
FY27E P / E	~76×
Verdict	Growth keeps printing

ON OUR BASE PATH

FY27E revenue	~$12.1B
FY27E op. margin	45%
FY27–28E EPS path	~$2.3–3.4
Verdict	Commercial crosses 50%

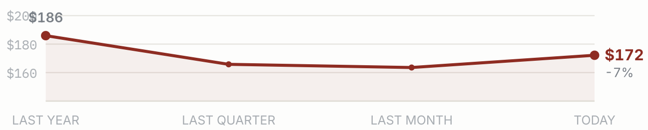
WHICH IS IT?

Street FY27, trust discount

Accepting ~$12B in FY27 at ~76× EPS prices continued commercial torque. Our $185 is **5.1% below** the Street median — SBC and programme concentration keep the discount of trust high even with a bullish rating.

STREET TARGET REVISIONS

Average target by lookback window



Average Street price target by lookback window · targets have drifted down as the share price digested 2025

ESTIMATES & RATINGS

26 analysts

Mean target, today	$172.17
Median target	$195
FY26 EPS consensus	$1.59 → 108×
FY27 EPS consensus	$2.26 → 76×
FY28 EPS consensus	$3.40 → 51×
Ratings	13 buy · 10 hold · 3 sell

The mean of **$172.17** is dragged by lowballs toward $80; the median at **$195** is the cleaner read. Our $185 sits between — above the mean, below the median.

Historical multiple ranges use daily closes against trailing fundamentals since profitability; sector multiple is the NASDAQ technology median from Financial Modeling Prep. Forward P/E uses consensus EPS. Palantir fiscal years end 31 December. Scenario commentary on this page is judgment, not a reverse-DCF solve.

How We Got To $185

Every assumption behind the three targets on page one is on this page. Valued primarily on FY27–28E EPS × exit multiple. Change one input and the number moves.

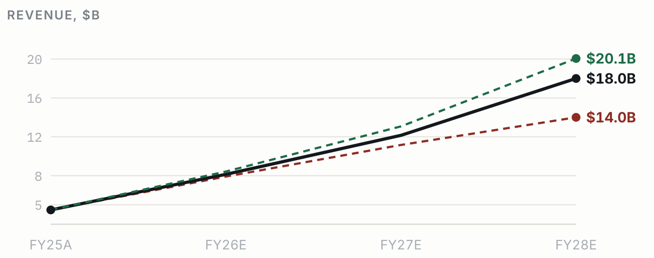
THE ASSUMPTIONS BEHIND EACH CASE

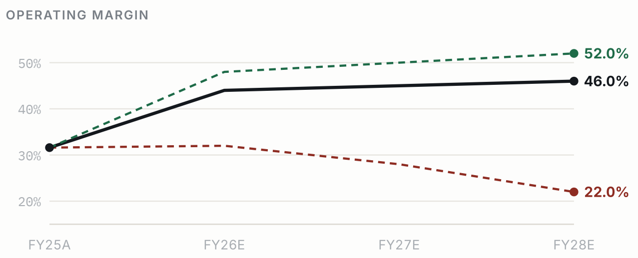
12-month horizon · valued on FY27–28E EPS × exit multiple · target date August 2027

DRIVER	BEAR	BASE	BULL	WHY IT MOVES
FY27E revenue	$11.2B	**$12.1B**	$13.1B	Street lo / mean / hi for FY27
FY27E operating margin	28%	**45%**	50%	Commercial mix vs SBC / growth fade
FY27–28E EPS	~$1.7	**~$2.3–3.4**	~$4.1	Aligned to Street EPS path
Diluted shares, B	2.30	**2.30**	2.28	~2.30B shares · float ~95.5%
Exit P / E	55×	**~80×**	55–70×	Bull is earnings, not multiple expansion
12-month target	**$95**	**$185**	**$230**	**−44.8% / +7.6% / +33.7%**

WHAT EACH CASE LOOKS LIKE

FY25 actual, then three years modelled · FY26–27 pinned to the consensus range





FOR THE BULL CASE TO BE RIGHT

All four, not one

- ▲ Commercial holds above 50% of revenue with Rule of 40 intact
- ▲ FY27 revenue tracks the Street high near $13.1B
- ▲ Operating margin expands toward 50% as AIP scales
- ▲ AIP bootcamp conversion lifts multi-year commercial ACVs

FOR THE BEAR CASE TO BE RIGHT

Any two are enough

- ▼ US commercial growth decelerates below 50% YoY
- ▼ A major defence programme slips a fiscal year
- ▼ SBC stays elevated and the trust discount widens
- ▼ Operating margin compresses toward 28% as growth fades

TARGET PRICE SENSITIVITY

FY27–28E EPS × exit P/E

FY27–28E EPS	40×	55×	70×	85×	100×
$1.7	$68	$94	$119	$145	$170
$2.3	$92	$126	$161	$195	$230
$2.8	$112	$154	$196	$238	$280
$3.4	$136	$187	$238	$289	$340
$4.1	$164	$225	$287	$348	$410

EXPECTED VALUE CHECK

Bear $95 × 25%	**$23.75**
Base $185 × 50%	**$92.50**
Bull $230 × 25%	**$57.50**
Probability-weighted	**$174**
Headline base target	**$185**
Expected return	+1.0%

The cell at **~$2.3 × 80× ≈ $184** sits on the $185 base. Bull is an earnings path (~$4.1 EPS), not multiple expansion — exit multiples stay in the mid-50s to 70s on the high EPS case.

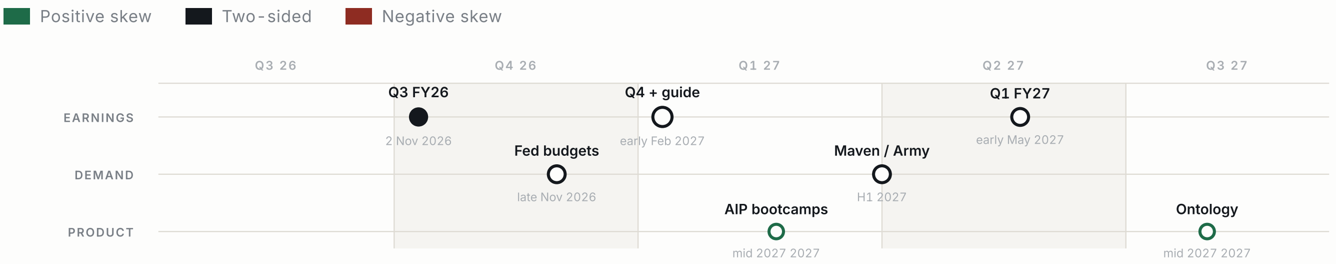
Scenario targets are Ticker Alpha model outputs built from the assumptions shown and set independently of Street targets; FY26–27 revenue in each path is pinned to the Financial Modeling Prep consensus low, mean and high so the first steps of the fan are the Street's own range. Probabilities are model-assigned and subjective. Targets are not predictions of price. Fiscal year ends 31 December.

What To Watch, And When

Seven events over the next eighteen months. The two heaviest are a November print against ~$2.16B and an early-February guide against the Street's $12.1B FY27.

THE NEXT EIGHTEEN MONTHS

Dot size is impact · a hollow dot means the date is estimated, not confirmed



CATALYST REGISTER

Impact is the share of the thesis the event settles, not the expected price move

Date	Event	Impact	Skew
2 Nov 2026 CONFIRMED	**Q3 FY26 results** Consensus wants ~$2.16B and $0.41. Commercial growth and Rule of 40 framing decide the multiple. **Watch:** US commercial growth vs government, and whether SBC stays above 12% of revenue.	IMPACT Decisive	SKEW **Two-sided** All three
late Nov 2026 ESTIMATED	**US FY27 appropriations clarity** Government is still half the company. CR continuing resolutions delay bookings even when demand is real. **Watch:** DoD and IC language on AI platforms in the omnibus.	IMPACT High	SKEW **Two-sided** Base or bear
early Feb 2027 ESTIMATED	**Q4 FY26 results and FY27 guide** Closes the year the Street models at $8.1B. The guide against $12.1B is the real print. **Watch:** FY27 revenue midpoint versus $12.1B consensus.	IMPACT Decisive	SKEW **Two-sided** All three
mid 2027 2027 ESTIMATED	**AIP enterprise bootcamp cadence** Commercial land-and-expand is the bull path. Bootcamp conversion into multi-year ACVs is the tell. **Watch:** Named commercial logos and remaining performance obligations growth.	IMPACT Medium	SKEW **Positive** Bull
H1 2027 ESTIMATED	**Large US defence programme renewals** A handful of programmes still concentrate government revenue. Renewal language matters more than new logos. **Watch:** Any single programme slipping a fiscal year.	IMPACT High	SKEW **Two-sided** Base or bear
early May 2027 ESTIMATED	**Q1 FY27 results** First print against the FY27 base. Commercial mix is the scorecard. **Watch:** Commercial revenue share crossing and holding above 50%.	IMPACT High	SKEW **Two-sided** Bull or bear
mid 2027 2027 ESTIMATED	**Ontology / AIP agent product cycle** The software moat claim is that ontology + AIP makes switching expensive. Product proof shows up in deal size, not demos. **Watch:** Average deal size and net dollar retention commentary.	IMPACT Medium	SKEW **Positive** Bull

IF YOU ONLY WATCH ONE THING

2 Nov · Q3 FY26

> Commercial growth and Rule of 40 framing decide the multiple. Consensus wants ~$2.16B and $0.41 — but mix is the scorecard, not the top line alone.

COMMERCIAL SHARE / GROWTH	READS AS	TARGET
Comm >50%, Ro40 held	Crossing confirmed; bull path opens	$230
Mix rising, growth intact	Base intact; trust discount stays	$185
US comm. <50% YoY	Deceleration; bear becomes the base	$95

NOT ON THIS CALENDAR

No date

Unscheduled events, any of which can move the shares further than the register above.

- A major DoD / IC programme renewal slips a fiscal year
- Export-control or defence-budget language that hits AIP deployments
- Hyperscaler + Databricks stack winning a named commercial logo
- SBC / dilution surprise that widens the trust discount
- Political scrutiny of government AI platform spend

Palantir's Q3 FY26 date (2 Nov 2026) is company-confirmed; later earnings dates are estimated from a stable reporting cadence. Impact scores, skew and thresholds are Ticker Alpha model outputs, not company guidance. Consensus wants ~$2.16B revenue and ~$0.41 EPS for the November quarter. Fiscal year ends 31 December.

What Could Break This

Six risks ranked by what they would cost rather than how likely they are, each with the observable that tells you it is happening.

RISK REGISTER

Severity is impact on our base target · likelihood is over 24 months

1 Multiple compression if growth slows
At 63.9× sales the multiple is the product. A growth miss rewrites the exit P/E faster than the income statement. **Watch:** US commercial YoY and Rule of 40 framing on the next print.
SEVERITY LIKELIHOOD

2 Commercial deceleration
Commercial is the re-rating engine. US commercial growth below 50% YoY turns the bull path off. **Watch:** commercial revenue share and named-logo commentary.
SEVERITY LIKELIHOOD

3 Government programme concentration
A handful of defence programmes still concentrate government revenue. A slip of one fiscal year rewrites bookings even when demand is real. **Watch:** Maven / Army renewal language and CR delays.
SEVERITY LIKELIHOOD

4 SBC dilution
SBC at 13.6% of sales keeps the discount of trust high. Persistent dilution without FCF per-share growth is a silent bear. **Watch:** SBC / revenue staying above 12%.
SEVERITY LIKELIHOOD

5 Hyperscaler + Databricks competition
Open stacks and SI incumbents compete for the same commercial cheque. Ontology switching costs only matter if deal size and NDR prove it. **Watch:** lost logos and average deal size commentary.
SEVERITY LIKELIHOOD

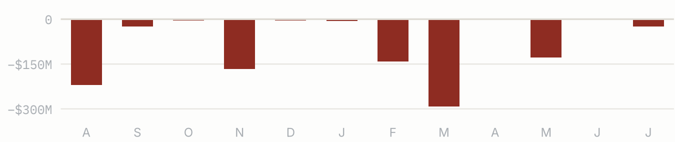
6 Political / export / defence budget risk
Government is still half the company. Appropriations, export rules and political scrutiny of AI platforms can delay bookings overnight. **Watch:** DoD / IC language in the omnibus and any export-control change.
SEVERITY LIKELIHOOD

WHO SOLD, AND HOW MUCH

Form 4 filings, last twelve months

INSIDER	ROLE	FILINGS	VALUE
Peter Thiel	Director	7	$290M
Alexander C. Karp	CEO	85	$249M
Stephen A. Cohen	President	70	$198M
Shyam Sankar	CTO	102	$193M
All insiders	**11 people**	**530**	**~$1.03B**

NET INSIDER VALUE BY MONTH



READING THE SIGNALS

Evidence, not trivia

Disposals / open-market buys	Heavy / limited
Net insider value, 12m	~$1.03B
As share of market cap	~0.26%
Insiders in sample	11 people
Free float	95.5% · ~2.30B sh
Analyst ratings	13 buy · 10 hold · 3 sell

Read this as texture, not signal. Karp and early holders sell persistently; ~$1B is still only ~26 basis points of a $395B company. The strip shows selling into strength — consistent with liquidity after a long run, not proof the thesis is wrong.

> Bullish, but trust-discounted. A base below the Street median is the point — not a soft rating.

METHODOLOGY & LIMITATIONS

HOW THE TARGETS ARE BUILT

Each case sets revenue, margin and multiple independently, then values primarily on FY27–28E EPS at a twelve-month horizon. The headline is the base case.

WHERE THE DATA COMES FROM

Prices, consensus, targets and Form 4s from Financial Modeling Prep; fundamentals from Palantir SEC filings. Peer medians use the eleven-name set on page 4. Data as of 7 August 2026.

WHAT THIS CANNOT DO

Generated from structured data — it cannot interview management or price an untold event. Institutional ownership was unavailable and is omitted rather than estimated.